

European Automobiles & Components

Volvo Car AB

Rating

Underperform

Price Target

 VOLCARB.SS

17.00 SEK



Harry Martin, CFA
+44 20 7676 8965
harry.martin@bernsteinsg.com



Steve Pereira Fernandes, CFA
+44 20 7676 7254
steve.pereira-fernandes@bernsteinsg.com



Gali Salvatorelli Naraghi
+44 20 7676 6741
gali.salvatorelli-naraghi@bernsteinsg.com



Stephen Reitman
+44 20 7762 5535
stephen.reitman@bernsteinsg.com

Volvo Cars Q2 2026: 11% gross profit miss, 25% EBIT miss. Company still expects materially better H2

Volvo Cars reported Q2 results this morning. Conference call 8:00am CEST/7:00am UK time.

Overall take. After the pre-close briefing call ([Link](#)) outlined a Q2 which would be hit by cost inflation and discounting as well as the tough China market, an 11% gross profit miss and 25% EBIT miss should perhaps come as little surprise. We went into the quarter meaningfully below consensus and the results are slightly better than our expectations for a 16% gross margin (actual 16.8%). Much lower R&D expenses also meant EBIT beat our forecast of slightly below breakeven. FCF burn was -€5bn SEK (consensus had positive FCF) but the company still expects approximately breakeven for the FY, where it will launch new models and unwind some of the inventory build. CMD also planned for September in Stockholm.

- **The quarter.** Volvo reported revenue of SEK 77.7bn, missing consensus by 6%, gross margin of 16.8%, 90 bps below consensus, and EBIT excl. items affecting comparability of SEK 826mn, a significant (25%) miss to consensus. The decrease was driven by a combination of lower underlying wholesale volumes, weaker sales mix and pricing, FX effects, and a one-off sale of SEK 3.3 bn in 2Q25 that boosted last year's figures.
- Retail sales were overall down 6% YoY, largely driven by a 37% decline in China, but were flat and up 9% in Europe and the US respectively. The US is said to be showing signs of a recovery in H2 after growth in May and June. In Europe, pricing pressure remains.
- EBIT decline was mainly down to less favorable sales mix and pricing, weaker wholesale volumes, negative D&A effects, as well as lower revenue benefits from emission credits (SEK 0.8bn vs 1.7bn in 2Q25).
- Volvo's free cash outflow of SEK 5.2bn was considerably below consensus (1.9bn inflow). Compared to our model which had a large working capital outflow, Volvo saw a minor working capital inflow.
- **Outlook.** Volvo indicated that they expect "significantly stronger" sales in H2 vs H1, as well as "strong positive" FCF in the latter parts of H2, resulting in full year being break even.

EXPECTED CHANGE TO CONSENSUS EARNINGS

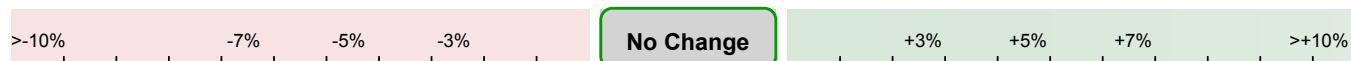


EXHIBIT 1: **Volvo Car: Results vs Consensus**

2026 Q2 SEK mns	Actual			BERNe		Consensus	
	2025 Q2	2026 Q2	vs 2025(%)	2026 Q2E	Δ	2026 Q2E	Δ
Total Revenue	93,492	77,673	(16.9%)	84,308	(7.9%)	82,736	(6.1%)
Gross Income (excl. items affecting comparability)	12,590	13,083	3.9%	13,489	(3.0%)	14,683	(10.9%)
Gross Margin	13.5%	16.8%	3.4%	16.0%	0.8%	17.7%	(0.9%)
EBIT	-9,955	826	(108.3%)	-71	(1256.4%)	1,105	(25.2%)
Margin	-10.6%	1.1%	11.7%	-0.1%	1.1%	1.3%	(0.3%)
EBIT (excl. items affecting comparability)	2,912	826	(71.6%)	429	92.7%	1,105	(25.2%)
Margin	3.1%	1.1%	(2.1%)	0.5%	0.6%	1.3%	(0.3%)
Net Income (shareholders)	-7,512	1,256	(116.7%)	-34	(3828.8%)	1,050	19.6%
Basic EPS	-2.53	0.54	(121.3%)	-0.02	(3407.2%)	0.35	52.4%
Cash flow from operating and investing	4,182	-5,243	(225.4%)	-14,806	(64.6%)	1,857	(382.3%)
Working Capital Cash Flow	12,635	898	(92.9%)	-11,618	(107.7%)		
Net Capex	-11,423	-8,323	(27.1%)	-9,600	(13.3%)		

Source: Company reports, Infront consensus, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	16 Jul 2026	Price Target	TTM	Reported EPS				Adjusted P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
VOLCARB.SS (Volvo Car)	U	SEK	21.15	17.00	1.0%	SEK	0.06	2.48	7.61	361.1	8.5	2.8
EDME			1,598.24									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Volvo Car AB**

We value Volvo on FCF yield. We value our 2028 FCF estimate of SEK 6.6bn at a 12% FCF yield (a small discount to European peers). We discount this back using a WACC of 8% based on the 3.5% YTM where Volvo's bonds are trading today, and to take into account the risk premium. This gives our 17 SEK target price.

RISKS**Volvo Car AB**

Upside risks include: another short squeeze (c.21% of the float is shorted), any relaxation of tariffs (including US-China, EU-China, US-EU), better than expected results from the cost and cash action plan.

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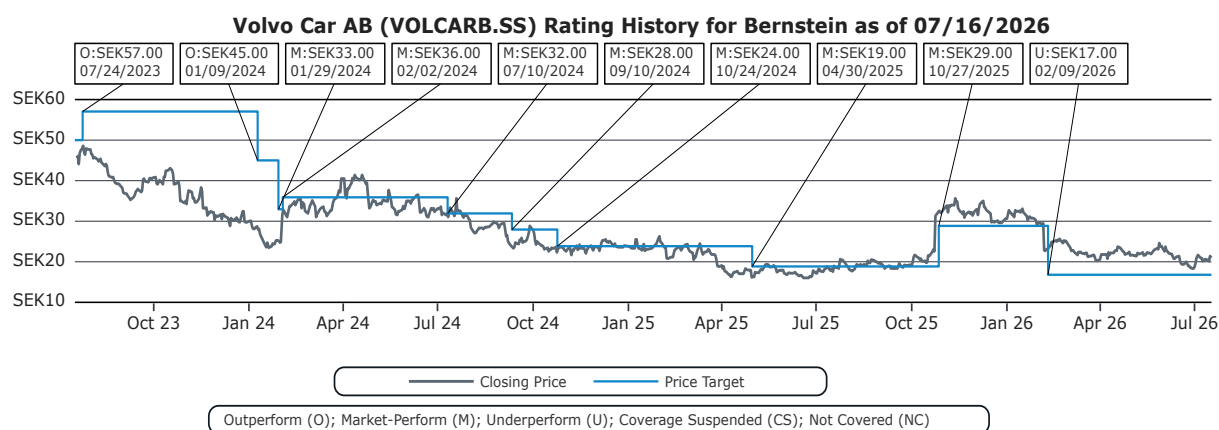
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Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

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